

Databricks Cost Optimization Results

83%

Cost Reduction from Peak

\$19,134

Saved/Month

\$229,603

Projected/Year

6 Months

Analysis Period

June 2025 - November 2025

Before & After

PEAK (AUGUST 2025)

\$23.1K

per month

CURRENT (NOVEMBER 2025)

\$4.0K

per month

\$19,134 saved/month

\$229,603 projected annually

3-Phase Optimization Strategy

PHASE 1

August 2025

Pool Cluster Decommissioning

- * Removed 24/7 pool clusters
- * Switched to on-demand compute
- * Added auto-termination (15 min)

\$6,167

saved (27% reduction)

PHASE 2

September 2025

Right-Sizing Compute

- * Standard_D4s_v3 VMs
- * Min 3 to Max 5 workers
- * 100% resource utilization

\$11,581

saved (68% reduction)

PHASE 3

October 2025

Task Group Clustering

- * Tables grouped by domain
- * Dedicated cluster per group
- * Reduced driver contention

\$1,386

saved (26% reduction)

6-Month Cost Breakdown

Month	Dev	QA	Prod	Development (Dev + QA)	Production	Total	Change
Jun 2025	\$62	\$5,780	\$9,640	\$5,842	\$9,640	\$15,482	Baseline
Jul 2025	\$80	\$8,770	\$13,090	\$8,850	\$13,090	\$21,940	^ \$6,458 (+42%)
Aug 2025	\$79	\$9,820	\$13,250	\$9,899	\$13,250	\$23,149	^ \$1,209 (+6%)
Sep 2025	\$61	\$5,510	\$11,410	\$5,571	\$11,410	\$16,981	v \$6,167 (27%)
Oct 2025	\$21	\$1,090	\$4,290	\$1,111	\$4,290	\$5,401	v \$11,581 (68%)
Nov 2025	\$15	\$1,020	\$2,980	\$1,035	\$2,980	\$4,015	v \$1,386 (26%)

Phases:



Phase 1: Pool Removal (Aug)



Phase 2: Right-Sizing (Sep)



Phase 3: Task Groups (Oct-Nov)

Total Reduction from Peak: \$19,134/month (83%)

Cost Reduction Trend



Resource Group Summary

Photon - Development

(Dev + QA Environments)

Peak (Aug): \$9,899

v

Nov 2025: \$1,035

-90%

\$8,864 saved/month

Photon - Production

(Production Environment)

Peak (Aug): \$13,250

v

Nov 2025: \$2,980

-78%

\$10,270 saved/month

Combined Savings: \$19,134/month

Summary

\$19K

Saved/Month

\$230K

Projected/Year

83%

Reduction

Optimization Phases

Phase 1

Pool Removal
August 2025

Phase 2

Right-Sizing
September 2025

Phase 3

Task Groups
Oct-Nov 2025

Same workload, lower cost, better performance